Office for
Budget Responsibility

Devolved tax and spending forecasts

October 2026

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1 Introduction

Background

1.1 The Office for Budget Responsibility (OBR) was established in 2010 to provide independent and authoritative analysis of the UK public finances. Alongside the UK Government's Budgets and other fiscal events, we publish forecasts for the economy and public finances in our *Economic and fiscal outlook* (EFO). Under the fiscal frameworks agreed between the UK Government and the Scottish and Welsh Governments, we are also responsible for producing the rest of UK forecasts of revenues and spending that underpin the block grant adjustments (BGAs) which determine the annual reduction in funding from the UK Government to reflect the devolution of tax powers.[1] This document sets out those forecasts alongside the latest outlook for the devolved taxes. We also set out projections of the net tax positions in Scotland and Wales, which are the difference between the forecasts of devolved revenues and the BGAs.

1.2 The methodologies and the forecasts represent the collective view of the independent members of the OBR's Budget Responsibility Committee (BRC). The BRC takes full responsibility for the judgements that underpin them. We have drawn heavily on the work and expertise of numerous officials in preparing these forecasts, including in the Welsh Government, Scottish Fiscal Commission, Scottish Government, HM Revenue and Customs (HMRC), HM Treasury and the Department for Work and Pensions. We are grateful for their expertise, hard work, and patience.

Forecast timetable

1.3 The devolved tax and spending forecasts in this document are consistent with the central forecast for the UK economy and public finances presented in our October 2026 *EFO*.

1.4 The October 2026 *EFO* describes the timetable that was followed in producing these forecasts. The pre-measures economy forecast was closed on 7 September and the pre-measures fiscal forecast on 18 September. The forecast was finalised on 22 October after incorporating the effects of new policy announcements.

1.5 The process for producing the devolved forecasts in this report has been as follows:

[1] For the Scottish Government, a BGA is also used to determine the annual increase in funding to account for the devolution of social security powers. We have no role in the final calculation of the BGAs which falls under HM Treasury's remit. For more detail on the OBR's role in the fiscal frameworks see McCurry, H., Lanskey, L. and Baiju, T. (2026), *The OBR's role in the devolved fiscal frameworks*, 30 July 2026.

- Officials in HMRC, the Scottish Fiscal Commission and the Welsh Government produced draft Scottish and Welsh tax forecasts using our preliminary UK economy and fiscal forecasts;

- These were scrutinised by the BRC in two challenge meetings attended by those officials on 15 and 16 September; and

- A final set of forecasts was produced on 22 October, which included the impact of UK Government policies.

Structure of this report

1.6 The rest of this document is structured as follows:

- Chapter 2 sets out the rest of UK forecasts which are used as inputs to the block grant adjustments;

- Chapter 3 presents our Scottish tax forecasts and projections of the Scottish net tax position;

- Chapter 4 presents our Welsh tax forecasts and projections of the Welsh net tax position;

- Annex A provides illustrative forecasts for taxes not yet devolved;

- Annex B provides additional forecast tables which underpin our devolved tax and spending forecasts.

2 Rest of UK forecasts

2.1 This chapter presents our latest forecasts for rest of UK taxation and spending, which are used as inputs to the block grant adjustments (BGAs) in Scotland and Wales.[1] These include our forecasts for non-savings non-dividends (NSND) income tax, stamp duty land tax, air passenger duty, landfill tax and aggregates levy. In Chapter 3 and 4, we set out in more detail the indicative impact of these changes on the tax BGAs in Scotland and Wales. We also set out our forecasts for rest of UK social security spending, which are used as inputs for the social security BGAs in Scotland.

Income tax

2.2 Our forecast for England and Northern Ireland (ENI) NSND income tax forms the basis of the income tax BGAs used for budget setting in Scotland and Wales. There are three main stages in generating this forecast:

- First, we generate a UK-wide forecast for NSND income tax liabilities from the full UK income tax forecast published in our *Economic and fiscal outlook* (EFO). We set out our latest forecast for UK NSND below in paragraph 2.3;
- Second, we calculate the Welsh and Scottish shares of UK-wide NSND liabilities and apply these to the UK forecast. We discuss the Scottish and Welsh shares in more detail in Chapters 3 and 4 respectively.[2] This is done on a pre-measures basis, as the effect of measures announced since our previous forecast is instead captured in cash terms. We then subtract the Scottish and Welsh share from our UK NSND forecast to generate an overall ENI forecast; and
- Third, we add the effects of UK Government policy measures announced since our previous forecast. [3]

UK NSND income tax forecast

2.3 As shown in Table 2.1, we forecast that UK-wide NSND income tax liabilities will be £300 billion in 2025-26, rising to £410 billion by 2031-32. Year-on-year growth is forecast to average 6 per cent, largely reflecting frozen personal tax thresholds until 2030-31 which

[1] Rest of UK refers to those parts of the UK where the relevant tax or spending responsibility has not been devolved and form part of the calculation of the BGAs. The geographical coverage of rest of UK varies by tax and spending area. For NSND income tax, stamp duty land tax and landfill tax, rest of UK refers to England and Northern Ireland. For aggregates levy and air passenger duty, rest of UK refers to England, Wales and Northern Ireland. For the elements of social security spending devolved to Scotland, rest of UK refers to England and Wales.
[2] In Chapter 4, we discuss the Welsh rates share, which refers to the share of UKNSND income tax retained by the Welsh Government. For the purposes of calculating the ENI share however, it is the overall Welsh share of NSND income tax (including that retained by the UK Government), which is subtracted from our UKNSND forecast to generate the ENI forecast.
[3] More detail on the forecast methodology is available in the OBR's *Forecasts in depth* page on *Devolved aspects of income tax*.

result in greater numbers of taxpayers moving into higher tax bands as nominal earnings rise.

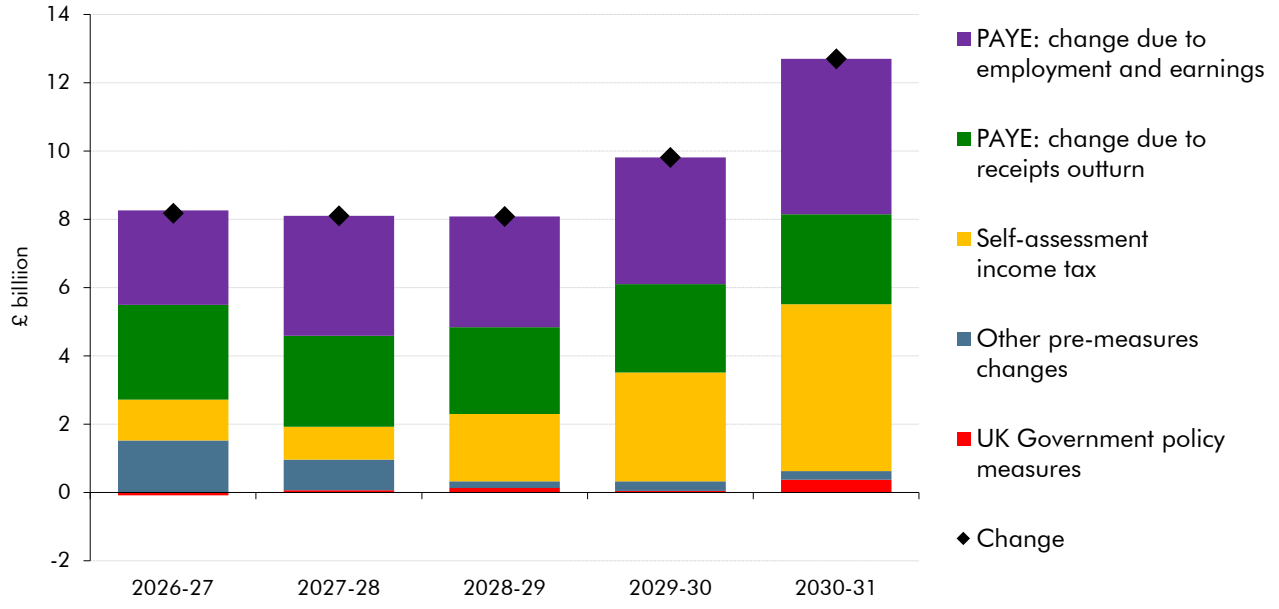
2.4 Relative to our March 2026 forecast, receipts have been revised up by an average of £9 billion a year from 2026-27 onwards. Chart 2.1 shows the increase relative to March is mainly driven by the pre-measures upwards revision to PAYE income tax liabilities, which reflects both stronger forecast growth in nominal earnings and higher-than-expected in-year receipts. Self-assessment liabilities on a pre-measures basis have been revised down in 2025-26 but are revised up by an average of £2.4 billion from 2026-27, due largely to a stronger forecast for self-employment income. The impact of UK Government policy measures announced since March is relatively small, increasing receipts by £0.2 billion on average from 2026-27 onwards.

Table 2.1: UK NSND income tax forecast

	£ billion							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	275.9	299.9	318.8	333.8	347.1	364.6	381.6	
October 2026 forecast	276.6	299.7	327.0	341.9	355.2	374.4	394.3	409.6
Difference	**0.7**	**-0.2**	**8.2**	**8.1**	**8.1**	**9.8**	**12.7**	
of which:								
Pre-measures forecast changes		-0.2	8.3	8.0	7.9	9.8	12.3	
UK Government policies			-0.1	0.1	0.1	0.0	0.4	0.5
of which:								
Direct effect			-0.1	0.1	0.1	0.1	0.5	0.8
Indirect effects			0.0	-0.1	0.1	-0.1	-0.1	-0.3

Source: OBR

Chart 2.1: Change in UK NSND income tax forecast since March 2026



Source: OBR

2.5 As Table 2.2 shows, the largest impact from UK Government policy measures announced since March on NSND income tax receipts comes from the 2 percentage point increase to property income tax rates announced at this Budget, which increases receipts by an average of £0.4 billion a year from 2027-28 onwards. As income tax rates are devolved to Scotland, the 2 percentage point increase to rates has no direct impact on Scottish NSND income tax receipts, but raises receipts from ENI and the non-devolved element of Welsh income tax.[4] This is partly offset by several smaller measures. A range of HMRC tax administration, compliance and debt collection measures also raise receipts, with their impact increasing in the later years of the forecast reaching £0.5 billion by 2031-32.

Table 2.2: Impact of UK Government measures on UK NSND income tax

	£ billion					
	Forecast					
	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
UK Government policies	-0.1	0.1	0.1	0.0	0.4	0.5
of which:						
Direct effect	-0.1	0.1	0.1	0.1	0.5	0.8
of which:						
Increase to property income tax rates	0.0	0.4	0.4	0.4	0.4	0.4
HMRC tax administration, compliance and debt collection measures	0.0	0.0	0.0	0.1	0.2	0.5
Other	-0.1	-0.3	-0.3	-0.4	-0.1	-0.1
Indirect effects	0.0	-0.1	0.1	-0.1	-0.1	-0.3

Source: OBR

ENI share of UK NSND income tax

2.6 Table 2.2 sets out the forecast for the ENI share of UK NSND income tax liabilities on a pre-measures basis. We forecast that the ENI share will increase from 90.5 per cent in 2024-25 to 90.7 per cent by 2031-32. The increase in 2026-27 reflects the reclassification of carried interest receipts, which we assume accrue to ENI. We explain this further in Box 2.1. Thereafter, the ENI share rises gradually, reflecting differences in projected population growth and ageing across the UK. In particular, based on the latest ONS principal population projections, Scotland's population is projected to decline and age more quickly than the populations of England and Northern Ireland. We use this to inform the share of income tax which accrues to Scotland, based on weighting liabilities by age group. This reduces Scotland's share of liabilities and so increases the ENI share.

2.7 Relative to March, the ENI share has been revised up by around 0.1 percentage points throughout the forecast period. This is primarily driven by the latest outturn data, which point to a lower Scottish share of UK liabilities, which is assumed to persist through the forecast. We discuss the drivers of the changes in Welsh and Scottish shares revisions in more detail in Chapters 3 and 4.

[4] There is a small reduction in Scottish NSND income tax from changes to finance cost relief as a result of the measure. This also has a small impact on Welsh rates.

Table 2.3: ENI share of UK NSND income tax on a pre-measures basis

	Per cent of UK total for non-savings, non-dividend liabilities							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	90.4	90.3	90.4	90.4	90.4	90.5	90.6	
October 2026 pre-measures forecast	90.5	90.5	90.5	90.6	90.6	90.6	90.7	90.7
Difference	**0.1**	**0.1**	**0.1**	**0.1**	**0.1**	**0.1**	**0.1**	
of which:								
Scottish share	0.1	0.2	0.2	0.2	0.1	0.1	0.1	
Welsh share	0.0	0.0	0.0	0.0	0.0	0.0	0.0	

Source: OBR

ENI income tax forecast

2.8 Table 2.4 sets out our latest forecast for ENI NSND income tax receipts, which form the basis of the BGAs in Wales and Scotland. ENI NSND income tax receipts are expected to rise from £250 billion in 2024-25 to £372 billion in 2031-32. This primarily reflects the growth in UK NSND receipts due to the combination of continued nominal earnings growth alongside frozen personal tax thresholds until 2030-31. Relative to our March 2026 forecast, receipts have been revised up largely due to the stronger UK NSND forecast reflecting our stronger nominal earnings forecast and the latest in-year receipts data. The impact of UK Government policies announced since March raise receipts by £0.2 billion on average a year from 2026-27 onwards, of which the largest is the increase to property income tax rates discussed above.

Table 2.4: ENI NSND income tax forecast

	£ billion							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	249.3	270.9	288.3	301.9	314.0	329.9	345.5	
October 2026 forecast	250.2	271.1	296.1	309.6	321.7	339.3	357.6	371.5
Difference	**0.9**	**0.2**	**7.8**	**7.8**	**7.7**	**9.4**	**12.0**	
of which:								
ENI share modelling		0.4	1.0	1.0	1.1	1.2	1.4	
UKNSND pre-measures changes		-0.2	6.9	6.7	6.5	8.1	10.3	
UK Government policies:			-0.1	0.1	0.1	0.1	0.4	0.4
of which:								
Direct effect			-0.1	0.1	0.1	0.1	0.5	0.7
Indirect effects			0.0	-0.1	0.1	-0.1	-0.1	-0.3

Source: OBR

Box 2.1: Impact of the reclassification of carried interest on net funding positions

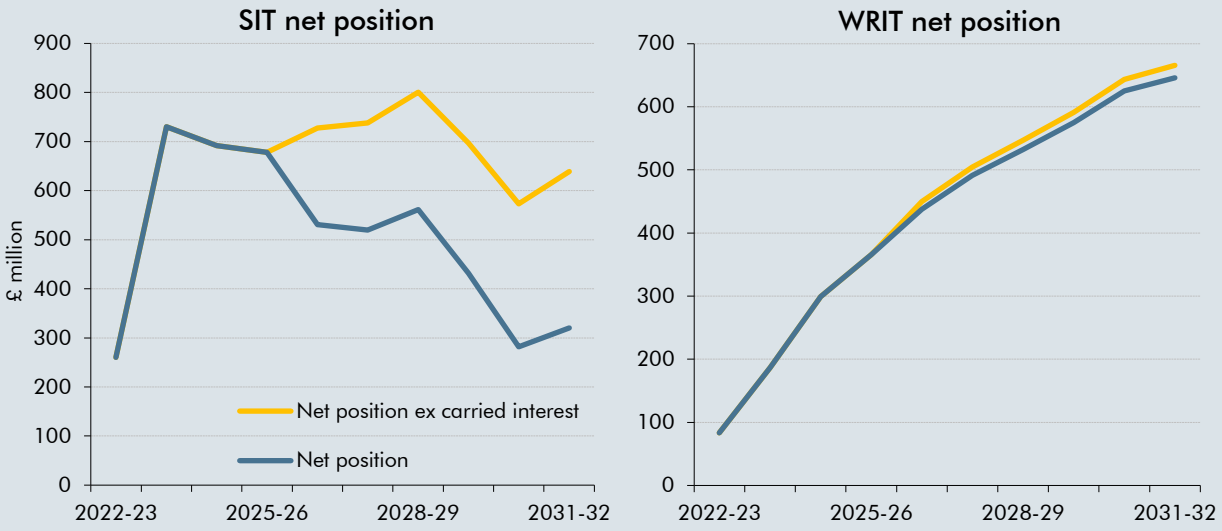
In October 2024, the UK Government announced that carried interest, the income received by fund executives linked to the performance of investment funds, would be taxed as trading profits for income tax purposes from April 2026. This reclassification from capital gains tax (CGT) to income tax was incorporated in our March 2025 *EFO*. Prior to April 2026, carried interest was

subject to CGT, a reserved tax, and therefore had no direct impact on the tax BGAs or devolved tax revenues. Following its reclassification, carried interest forms part of UK NSND income tax and therefore affects the Scottish and Welsh net funding positions. In this box, we examine the impact of the reclassification on those projected net funding positions.

While the OBR does not produce the costings of UK Government policy measures, it is responsible for scrutinising them and assessing whether they represent reasonable and central estimates. As part of our role under the devolved fiscal frameworks, this includes assessing the geographic distribution of policy effects where they affect devolved taxes or the rest of UK forecasts that underpin the tax BGAs. For carried interest, we judged it reasonable and central to assume that all additional NSND income tax receipts arising from the reclassification would accrue to England. This was informed by HMRC analysis of 2022-23 outturn data, which showed that around 90 per cent of carried interest liabilities were attributable to taxpayers in London and the South East, with almost all of the remainder arising elsewhere in England. The latest available data for 2023-24 also shows a similar geographic distribution. On this basis, the reclassification increases our ENI NSND income tax forecast by around £3.6 billion a year, or 1.1 per cent, from 2026-27 onwards and so impacts the projected indicative income tax BGAs and net positions of the Welsh and Scottish Governments. Chart A shows that:

- For the **Scottish income tax net position**, the reclassification is projected to increase the Scottish income tax BGA by around £250 million a year from 2026-27 onwards and therefore reduce the Scottish net position by the same amount. This reflects the assumption that the additional NSND income tax receipts accrue entirely to England and are therefore included in the rest of UK revenues used to calculate the BGA, while generating no corresponding increase in Scottish income tax revenues.
- For the **Welsh rates net position**, the reclassification is projected to have a much smaller impact, reducing the net position by around £15 million a year from 2026-27 onwards. The proportionately smaller effect relative to Scotland reflects our assumption that the majority of carried interest receipts accrue to additional-rate taxpayers in England. Under the Welsh fiscal framework, only the first 10p of each income tax band is devolved, while the Welsh rates tax BGA is calculated on a by-band basis. Both these factors mean that the Welsh net position is much less exposed to changes in NSND income tax liabilities at the top of the income distribution in ENI. This means that only a small proportion of the increase in ENI NSND income tax receipts arising from the reclassification is projected to impact the Welsh rates BGA.

Chart A: Impact on the Scottish and Welsh net positions of the reclassification of carried interest receipts



Source: OBR

Other taxes

2.9 **Stamp duty land tax (SDLT)** receipts in ENI are forecast to increase from £15 billion in 2025-26 to £24 billion in 2031-32, an average of 8 per cent annual growth. Relative to March 2026, we have revised down our forecast by an average of £3.7 billion (17 per cent) in each year. This downward revision is because receipts in the first few months of 2026-27 imply a lower forecast for both commercial and residential property. This aligns with reports of particularly weak performance in the high-value property market in London and the South East, which receipts are particularly sensitive to given SDLT's progressive structure. UK Government policy increases SDLT receipts by £0.3 billion in 2028-29, this is more than explained by the measure to restrict sovereign wealth and overseas public pension funds' immunity from direct taxes on UK income and gains. In every other year of the forecast the total effect of new UK Government policy is small.

2.10 **Air passenger duty (APD)** receipts in England, Wales and NI (EWNI) are forecast to be £4.8 billion in 2027-28 and grow to £5.9 billion in 2031-32. This is the first forecast where we have produced an official forecast of APD revenues in EWNI. In the absence of outturn data we have estimated the EWNI receipts by subtracting from the total UK forecast an estimate of the Scottish share. Until outturn is available for Scottish receipts, these estimates are highly uncertain. In Table 2.5 we compare this forecast to the one based on our March 2026 illustrative forecast, which was based on estimates from government expenditure and revenue Scotland and the ONS on Scottish shares. Relative to March 2026, the forecast is lower by on average £0.4 billion per year, largely driven by weaker outturn for UK APD in early 2026-27.

2.11 **Landfill tax** receipts in ENI are largely unchanged from our March 2026 forecast. This is due to largely offsetting changes with higher outturn in the early months of 2026-27 and higher

RPI inflation uprating being offset by updating data on landfill tonnage and the impact of policies from the Department for Environment Food and Rural Affairs.

2.12 **Aggregates levy** receipts in England, Wales and NI are also largely unchanged since March. A higher forecast for uprating due to increases in the RPI forecast are more than offset by lower-than-expected outturn.

Table 2.5: Other rest of UK tax forecasts

	£ billion						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Stamp duty land tax							
March 2026 forecast	15.4	18.2	20.3	22.6	24.5	26.2	
October 2026 forecast	15.2	15.0	16.9	18.9	20.4	22.0	23.7
Difference	**-0.2**	**-3.1**	**-3.4**	**-3.6**	**-4.1**	**-4.1**	
Air passenger duty							
March 2026 illustrative forecast			5.1	5.4	5.7	6.0	
October 2026 forecast			4.8	5.0	5.3	5.6	5.9
Difference			**-0.4**	**-0.4**	**-0.4**	**-0.3**	
Landfill tax							
March 2026 forecast	0.6	0.4	0.4	0.5	0.5	0.5	
October 2026 forecast	0.6	0.4	0.4	0.5	0.5	0.5	0.5
Difference	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	
Aggregates levy							
March 2026 forecast		0.4	0.4	0.4	0.4	0.4	
October 2026 forecast		0.3	0.4	0.4	0.4	0.4	0.4
Difference		**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	

Source: OBR

Social security forecasts

2.13 Following the Scotland Act 2016, the UK Government has devolved responsibility for some social security benefits to the Scottish Government. The UK Government gives additional funding to the Scottish Government to reflect this.

2.14 Table 2.6 sets out forecasts for the elements of England and Wales social security that have been devolved to Scotland and which are used to calculate the welfare BGAs for Scottish Government funding. Total spending on the devolved benefits in England and Wales is estimated to be £58 billion in 2026-27. It is then forecast to rise by an average of £4.4 billion a year over the forecast period, reaching £79 billion in 2031-32. The main drivers of rising spending are rising disability benefit caseloads and the annual inflation-linked benefit uprating.[5]

[5] Disability benefits refer to disability living allowance, the disability benefit now open only to children, personal independence payment, the disability benefit open to those of working-age, and attendance allowance, the disability benefit open to pensioners. Carer's allowance caseloads are directly driven by our disability benefit caseload forecasts.

Table 2.6: Social security spending in England and Wales

	£ million						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Total England and Wales devolved social security	**52,571**	**57,896**	**62,875**	**67,260**	**71,102**	**75,124**	**79,182**
of which:							
Carer's allowance	4,576	4,990	5,457	5,817	6,098	6,441	6,776
Personal independence payment	28,497	31,553	34,511	37,810	41,176	44,175	47,040
Disability living allowance	8,297	8,983	9,619	9,857	9,627	9,832	10,131
Attendance allowance	8,484	9,639	10,572	11,061	11,471	11,929	12,439
Industrial injuries disablement benefit	722	735	730	719	698	677	657
Severe disablement allowance	47	42	37	32	26	19	13
Cold weather payment	36	43	43	43	43	43	43
Winter fuel payment	1,911	1,911	1,906	1,922	1,965	2,007	2,084

Note: These forecasts are for spending in England and Wales on benefits which have now been devolved to Scotland. Winter fuel payments were devolved from April 2024, cold weather payments were devolved in November 2022, carer's allowance was devolved in September 2018, and all other benefits in this table were devolved in April 2020.
Source: DWP, OBR

2.15 Table 2.7 shows that, relative to our March 2026 forecast, social security spending in England and Wales for benefits now devolved to Scotland has risen by an average of £0.9 billion across the forecast. This rise is more than explained by uprating due to a higher CPI forecast, increasing spending by £1.7 billion in 2030-31. Partially offsetting the impact of higher uprating are lower disability caseloads, which reflect the net impact of two developments in outturn:

- **Higher-than-expected new claims for disability benefits** in 2026 increase spending by £0.9 billion in 2030-31. Most of this rise was driven by personal independence payment (PIP) and attendance allowance (AA) (£0.4 billion each in 2030-31), with the rest explained by disability living allowance (DLA).

- **Lower-than-expected award rates** for non-pensioner disability benefits more than offset the impact of higher new claims, reducing spending in 2030-31 by £1.6 billion. A lower proportion of new claims for child and working-age disability benefits are receiving an award than in previous years, leading to lower caseloads in our forecast. This is nearly all driven by PIP (£1.4 billion), with the rest by DLA (£0.2 billion).

Table 2.7: Change in social security spending in England and Wales since March

	£ billion						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	52.7	58.0	61.9	65.7	69.8	74.4	
October 2026 forecast	52.6	57.9	62.9	67.3	71.1	75.1	79.2
Difference	**-0.1**	**-0.1**	**1.0**	**1.6**	**1.3**	**0.7**	
of which:							
Uprating	0.0	0.0	0.6	1.5	1.6	1.7	
Disability new claims	0.0	0.4	1.1	1.1	1.0	0.9	
Disability award rates	0.0	-0.2	-0.8	-1.1	-1.4	-1.6	
Other forecasting changes	-0.1	-0.2	0.1	0.1	0.0	-0.4	

Note: These forecasts are for spending in England and Wales on benefits which have now been devolved to Scotland.
Source: DWP, OBR

3 Scottish tax forecasts and net position

Introduction

3.1 In this chapter we provide:

- A summary of the projections of the **tax block grant adjustments (BGAs)** and Scottish **net tax position**. The net tax position reflects the difference between revenues from the Scottish taxes and the tax BGAs. While the BGAs are calculated by HM Treasury, they are based on our forecasts for the equivalent rest of UK taxes set out in Chapter 2.

- Our latest forecasts for Scottish taxes, which include Scottish income tax, land and buildings transaction tax (LBTT), Scottish landfill tax, Scottish aggregates tax and air departure tax.

3.2 The rest of UK tax forecasts set out in Chapter 2 are used in calculating the Scottish Government's tax BGAs, which reduce the funding received by the Scottish Government to reflect the devolution of tax revenues. They are calculated using the indexed per capita (IPC) method, which adjusts the previous year's BGA for each devolved tax in line with the growth in the rest of UK tax forecasts and projected differences in population growth. In this chapter, to facilitate understanding of how our forecasts inform the tax BGAs, we provide an analysis of the latest tax BGAs and how these have changed since they were last calculated. However, it is HM Treasury that is responsible for making the formal BGA calculations and they are subject to final agreement between the UK Government and Scottish Government. The analysis that we set out here should therefore be treated as indicative.

3.3 Our Scottish tax forecasts form the basis of our overall UK receipts forecast. For income tax, as described in Chapter 2, our Scottish income tax forecast also informs the calculation of the rest of UK forecast which is used to calculate the BGA. However, the forecasts for Scottish tax that the Scottish Government uses for its budget-setting are produced by the Scottish Fiscal Commission (SFC). Therefore, as agreed with the SFC, in this chapter we compare our two forecasts to improve understanding and transparency of the underlying judgements and methodologies.[1] These comparisons should be considered on the basis that the SFC's most recent published forecasts were released in January 2026 so do not reflect the latest economic conditions nor the impact of policies announced at this event. The SFC will publish an updated set of forecasts alongside the Scottish Budget on 3 December 2026.

[1] Scottish Fiscal Commission and Office for Budget Responsibility, *Memorandum of Understanding between the Scottish Fiscal Commission and the Office for Budget Responsibility*, January 2019.

Scottish receipts, BGAs and net position

Comparison of rest of UK tax forecasts and OBR Scottish tax forecasts

3.4 Table 3.1 provides a comparison of our rest of UK tax forecasts, described in Chapter 2, which form the basis of the Scottish block-grant adjustments, and our Scottish tax forecasts, which we describe in more detail later in this chapter. Overall, total rest of UK equivalent taxes are forecast to grow by 6 per cent on average each year over the forecast period. This is stronger growth than our forecasts for Scottish taxes, which grow by 5 per cent on average a year. As a result, Scottish tax receipts as a proportion of the equivalent rest of UK receipts decline over the forecast period, as shown in the bottom half of the table. This decline is driven primarily by non-savings non-dividends (NSND) income tax, reflecting the combination of the carried interest reclassification described in Box 2.1 and differences in projected population growth and ageing. In particular, based on the latest ONS principal population projections, Scotland's population is projected to decline and age more quickly than the populations of England and Northern Ireland.

Table 3.1: Rest of UK tax forecasts and Scottish tax forecasts

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Total Scottish devolved taxes	**19,591**	**21,063**	**22,669**	**24,017**	**24,922**	**26,060**	**27,218**	**28,245**
of which:								
Scottish income tax	18,635	20,055	21,622	22,501	23,323	24,356	25,410	26,343
LBTT	899	952	977	1,024	1,083	1,163	1,245	1,320
Air departure tax				424	445	466	485	503
Scottish landfill tax	57	56	27	22	24	26	27	27
Scottish aggregates tax			44	46	48	49	51	52
Total rest of UK forecasts	**264,563**	**286,885**	**311,894**	**332,009**	**346,534**	**365,874**	**386,086**	**402,109**
of which:								
NSND income tax	250,212	271,119	296,088	309,624	321,699	339,274	357,550	371,522
Property taxes	13,854	15,178	15,038	16,871	18,945	20,398	22,015	23,697
Air passenger duty				4,760	5,040	5,344	5,622	5,947
Landfill tax	497	588	429	390	468	459	483	514
Aggregates levy			339	364	382	400	416	429
	Scotland as a percentage of rest of UK receipts							
Total Scottish devolved taxes	**7.4**	**7.3**	**7.3**	**7.2**	**7.2**	**7.1**	**7.0**	**7.0**
of which:								
Scottish income tax	7.4	7.4	7.3	7.3	7.2	7.2	7.1	7.1
LBTT	6.5	6.3	6.5	6.1	5.7	5.7	5.7	5.6
Air departure tax				8.9	8.8	8.7	8.6	8.5
Scottish landfill tax	11.4	9.5	6.4	5.6	5.1	5.6	5.6	5.3
Scottish aggregates tax			12.9	12.6	12.4	12.3	12.2	12.1

Note: Currently outturn data is available for 2024-25 for income tax, and 2025-26 remains a forecast. For property and landfill taxes, the latest outturn is 2025-26.
Source: OBR

Latest indicative BGA projections

3.5 Table 3.2 shows the latest projections for the indicative tax BGAs. Following the IPC method these are calculated by adjusting the rest of UK forecasts, set out in Chapter 2, for projected relative population growth in Scotland compared to the rest of the UK.[2] Overall, the Scottish tax BGA is indicatively projected to increase from £19 billion in 2024-25 to £28 billion in 2031-32, with growth averaging 6 per cent a year. Growth in the indicative tax BGA is slightly lower than in the corresponding rest of UK tax forecasts because of Scotland's expected relatively slower population growth.

3.6 For the first time, this includes the air departure tax (ADT) BGA following the agreement between the Scottish and UK Government to devolve APD from April 2027. The Scottish and UK Government have agreed to base the BGA on the SFC forecast for 2027-28 with an adjustment to exclude the estimated revenue impact of changes to the Highlands and Islands exemption. Thereafter, the BGA is calculated using the IPC method based on our forecasts for receipts in England, Wales and Northern Ireland. Estimates of both the 2027-28 baseline and subsequent growth in the BGA are uncertain, as the relevant outturn data is not yet available.

Table 3.2: Indicative BGA projection by tax

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Scottish tax BGA	18,642	20,151	21,865	23,254	24,161	25,411	26,711	27,709
of which:								
Income tax	17,943	19,377	21,091	21,981	22,761	23,924	25,128	26,023
LBTT	625	680	672	752	841	903	971	1,042
Air departure tax				423	447	472	495	522
Scottish landfill tax	73	94	64	58	70	68	71	76
Scottish aggregates tax			37	40	42	44	45	47
Memo: index of relative population growth (2024-25=100)	*100*	*99.7*	*99.3*	*99.0*	*98.7*	*98.3*	*98.0*	*97.7*

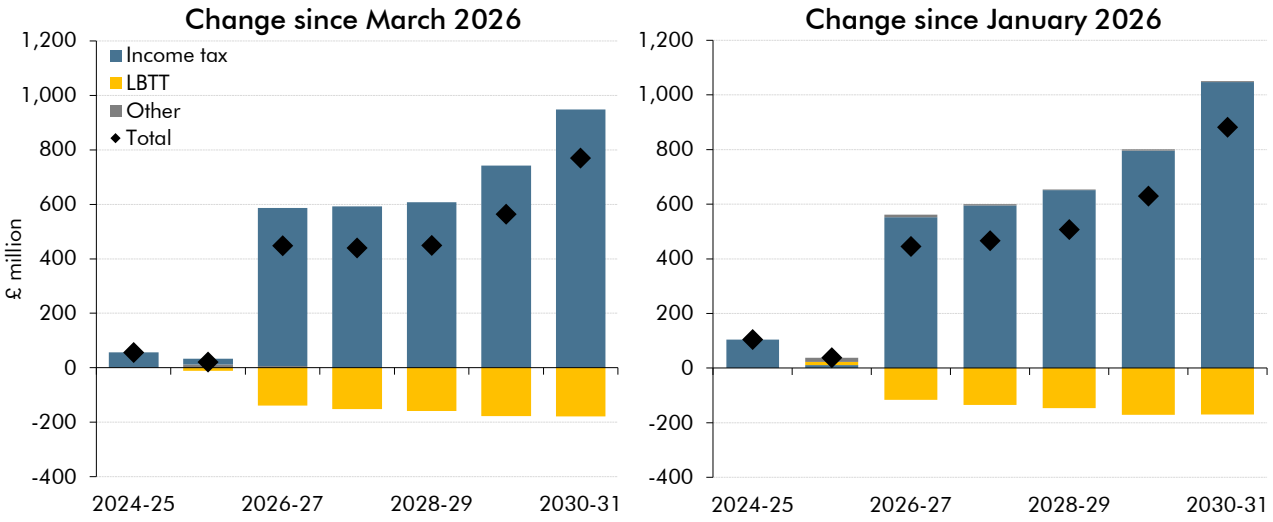
Note: BGA figures are based on HM Treasury calculations of OBR forecasts. These numbers can sometimes be revised, so should be treated as provisional. The index of relative population refer to relative growth between Scotland and ENI which inform the calculations of the BGAs for income tax, LBTT and SLfT. For SAT and ADT, the relavent comparison is relative growth between EWNI and Scotland. The latest outturn year for LBTT and SLfT is 2025-26.
Source: HM Treasury

3.7 Chart 3.1 shows that the indicative projections of the tax BGAs have increased relative to when these were last calculated in March 2026 and to those that informed the Scottish Budget in January 2026. The upward revision is largely driven by the higher forecast for England and Northern Ireland (ENI) NSND income tax liabilities. This is partly offset by our weaker forecast for stamp duty land tax (SDLT) receipts which reduces the LBTT tax BGA. The impact of UK Government policy measures increases the indicative BGAs by an average

[2] This is based on taking the latest ONS mid-year estimates of the difference in outturn population growth between Scotland and the 'rest of the UK' and projecting this forward by assuming that the relative growth rate remains constant. As the countries included in the 'rest of the UK' vary by tax, this projection is calculated separately for each BGA.

of £12 million a year,[3] with the largest impact coming from the increase to property income tax rates.

Chart 3.1: Indicative change in the tax BGAs since March 2026 and January 2026



Note: We exclude the air departure tax BGA from this comparison.
Source: HM Treasury, OBR

OBR projections of the Scottish net tax position

3.8 The net tax position is devolved tax revenues received by the Scottish Government minus the amount deducted from the block grant through the BGA. It summarises the impact of tax devolution on the Scottish budget. Table 3.3 shows that the net tax position based on the OBR's Scottish tax forecasts stood at £0.9 billion in 2025-26 and is projected to fall to £0.5 billion by 2031-32. This is comprised of:

- The **Scottish income tax** net position falls from £0.7 billion in 2024-25 to £0.3 billion in 2031-32. The decline in the net position is largely driven by the reclassification of carried interest receipts as explained in Box 3.1. There is also a negative impact on the net position from the 4 percentage point increase to property income tax rates in the rest of the UK from 2027-28 onwards (of which 2 percentage points is announced at this event). As income tax rates are devolved to Scotland, the increase in the property income tax rates has no direct impact on Scottish income tax, but does raise the BGA (as it increases ENI income tax).[4] We estimate the 4 percentage point increase in property income tax rates from 2027-28 onwards lowers the Scottish net position by around £60 million from 2027-28 onwards.

- The net position for **LBTT** is projected to remain largely flat over the forecast period, at £272 million a year on average.

[3] This excludes the ADT BGA.
[4] There is a small reduction in Scottish NSND income tax from changes to finance cost relief as a result of the measure.

- The decline in the net position for **other taxes** is mostly driven by Scottish landfill tax, which has declined since devolution due to increases in Scottish incineration capacity and policies like the biodegradable municipal waste ban. This leads to a negative net tax position.

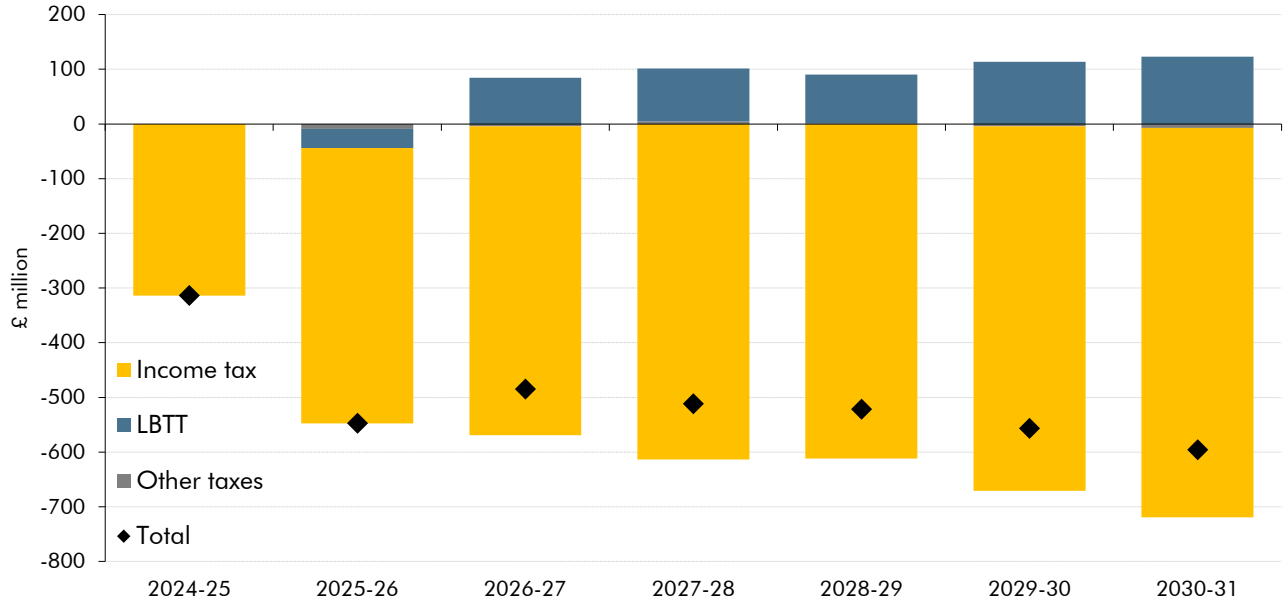
Table 3.3: Projected Scottish net tax position based on OBR tax forecasts

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Total Scottish devolved taxes (OBR)	19,591	21,063	22,669	24,017	24,922	26,060	27,218	28,245
Scottish tax BGA	18,642	20,151	21,865	23,254	24,161	25,411	26,711	27,709
Net tax position	**949**	**912**	**805**	**762**	**761**	**649**	**506**	**536**
of which:								
Income tax	692	678	531	520	561	431	282	320
LBTT	274	272	305	272	242	261	275	279
Other taxes	-17	-38	-31	-29	-42	-43	-50	-63

Note: BGA figures are based on HM Treasury calculations of OBR forecasts. These numbers can sometimes be revised, so should be treated as provisional. Other taxes includes Scottish landfill tax (SLfT) and Scottish aggregates tax. We present the outturn numbers net of reconciliations. The latest outturn year for LBTT and SLfT is 2025-26.
Source: HM Treasury, SFC, OBR

3.9 Chart 3.2 shows that compared with our March 2026 forecast, the Scottish net position is an average of £0.5 billion lower a year from 2025-26 onwards. This is explained by changes to our pre-measures ENI NSND forecast, which increases the BGA and so lowers the net position. Scottish income tax in contrast is on average largely unchanged across the forecast as described in paragraph 3.15. The downward revision to our SDLT forecast discussed further in paragraph 2.9 decreases the size of the BGA and so partly offsets these changes. The impact of UK Government measures announced since March is small, reducing the net position by around £30 million from 2026-27 onwards, which is largely explained by the 2 percentage point increase to property income tax rates.

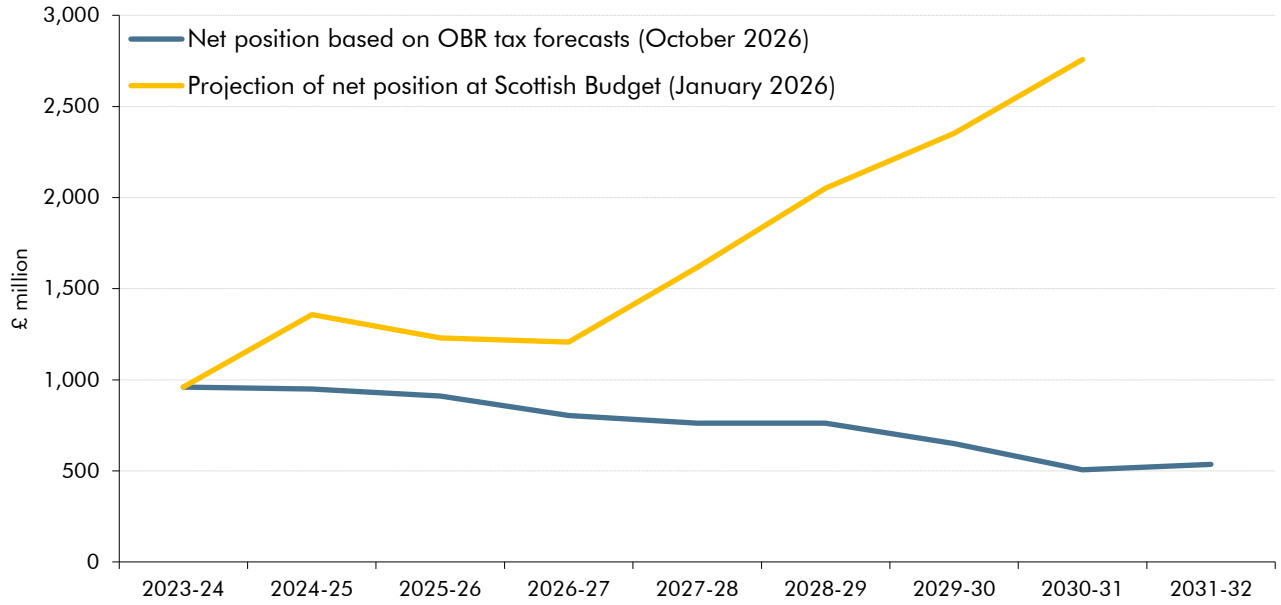
Chart 3.2: Change in OBR projected Scottish net tax position since March 2026



Source: OBR

3.10 Chart 3.3 compares the projections of the Scottish net tax position based on our latest Scottish income tax forecast and the latest indicative tax BGAs to the net position which informed the most recent Scottish budget in January 2026. The latter was based on the SFC's January 2026 forecast for Scottish income tax and tax BGA projections consistent with our November 2025 forecasts for the corresponding rest of UK taxes. Overall, the latest projection based on our Scottish income tax forecasts is materially lower throughout the forecast period. This is driven both by the upwards revision to the tax BGAs since the January 2026 budget, reflecting the difference between our updated outlook for ENI NSND income tax receipts, and by differences between the SFC's January 2026 income tax forecasts and our latest forecasts. Some of this is likely to reflect timing differences, with the SFC forecasts produced prior to the latest Scottish income tax outturn for 2024-25, which showed weaker receipts than expected. We discuss this further in paragraph 3.19.

Chart 3.3: Scottish net tax position projections



Source: SFC, OBR

Scottish tax forecasts

3.11 In this section we provide further detail on our latest Scottish tax forecasts, which include Scottish income tax, air departure tax, Scottish landfill tax and Scottish aggregates tax.

Scottish income tax

Scottish share of UK NSND income tax

3.12 Our Scottish income tax forecast is based on estimating and projecting Scotland's share of UK NSND income tax liabilities before the effects of policy measures. We apply this share to our latest forecast for UK NSND income tax liabilities, which is described in Chapter 2, and then incorporate the effects of UK Government policy measures. Table 3.4 reports our latest forecast for Scotland's share of UK NSND income tax liabilities on a pre-measures basis.[5]

3.13 The Scottish share is forecast to fall from 6.74 per cent in 2024-25 to 6.44 per cent by 2031-32. This decline reflects both the reclassification of carried interest receipts, which takes effect in 2026-27, and differences in projected demographic trends across the UK. The latest ONS principal population projections indicate that Scotland's population will decline and age more rapidly than elsewhere in the UK. We use an index based on the ONS population projections to reflect the different projected growth rates of the adult population in Scotland compared with the UK as a whole. This 'population index' combines two separate indices – one each for adults aged below and above the State Pension age – that are weighted by the proportion of NSND income tax paid by each group. As income tax liabilities are lower for older age groups, this drives a decline in the Scottish share over the forecast period.

[5] Further detail on the methodology used to produce our Scottish income tax forecast is available on our devolved aspects of income tax forecasts in-depth page.

3.14 Relative to our March 2026 forecast, Scotland's share has been revised down by around 0.2 percentage points throughout the forecast period. This primarily reflects the latest outturn data, which indicate a lower Scottish share of UK liabilities than previously estimated, which is assumed to persist over the forecast period.

Table 3.4: Scottish share of NSND income tax on a pre-measures basis

	Per cent of UK total for non-savings, non-dividend liabilities							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	6.85	6.85	6.78	6.75	6.72	6.66	6.60	
October 2026 pre-measures forecast	6.74	6.69	6.61	6.59	6.57	6.51	6.45	6.44
Difference	**-0.11**	**-0.16**	**-0.17**	**-0.16**	**-0.15**	**-0.15**	**-0.15**	
Memo: RTI index (2024-25=100)	*100.0*	*99.7*	*99.7*	*99.7*	*99.7*	*99.7*	*99.7*	*99.7*
Change since March		*-0.1*	*-0.1*	*-0.1*	*-0.1*	*-0.1*	*-0.1*	
Memo: index of relative population (2025-26=100)		*100.0*	*99.7*	*99.4*	*99.1*	*98.8*	*98.4*	*98.1*
Change since March		*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	

Source: OBR

Latest forecast

3.15 Table 3.5 presents changes in our forecast for Scottish NSND income tax since March 2026. Receipts are revised down by £0.5 billion in 2025-26, but revised up on average thereafter, with the upward revision reaching £0.2 billion by 2030-31. From 2026-27 onwards there is an upward revision from the increase to the UK NSND income tax forecast described in Chapter 2. This is broadly offset, however, by the impact of the lower Scottish share of UK NSND income tax liabilities implied by the latest outturn data, which reduces receipts by around £0.5 billion a year throughout the forecast period. The effect of UK Government measures announced since March on Scottish income tax is small.

Table 3.5: Changes in Scottish NSND income tax since March

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	18,893	20,539	21,606	22,522	23,328	24,282	25,176	
October 2026 forecast	18,635	20,055	21,622	22,501	23,323	24,356	25,410	26,343
Difference		**-484**	**15**	**-21**	**-5**	**73**	**235**	
of which:								
Scottish share modelling		-470	-503	-500	-474	-503	-523	
UK NSND pre-measures changes		-14	524	501	488	598	757	
UK Government policies:		0	-5	-23	-19	-22	1	10
of which:								
Direct effect		0	-8	-20	-27	-20	7	27
Indirect effects		0	3	-3	8	-1	-6	-18

Source: OBR

Comparison with Scottish Fiscal Commission forecast

3.16 The Scottish Government's budget position is based on both the BGAs, which reflect our forecasts, and the SFC's forecasts for tax revenues in Scotland. As a result, differences between our respective forecasts for growth in revenues can affect the overall budget position in any given year – although ultimately resources are aligned to revenue outturns via a reconciliation process over subsequent years.[6]

3.17 Differences in modelling approaches, data used, and judgements applied can all contribute to differences between our and the SFC's forecasts. This is compounded by the fact that we produce our forecasts at different times, so the latest data will have moved on in between each forecast including the impact of UK Government or Scottish Government policy measures. To facilitate comparisons, as agreed with the SFC, we publish a standard set of income tax comparison tables that we each update alongside new forecasts. Tables 3.6 and 3.7 compare our current forecast to the SFC's January 2026 forecast.

3.18 Table 3.6 compares the determinants used in our respective forecasts. Ours relate to the UK as a whole, whereas the SFC's are specific to Scotland. It shows that:

- We forecast stronger employment growth than the SFC over the forecast period. This leaves employment 0.9 percentage points above the SFC's forecast in 2030-31 on a cumulative basis.
- We expect average nominal earnings growth to be weaker than the SFC on average. This leaves earnings growth 0.5 percentage points below the SFC's forecast in 2030-31 on a cumulative basis.
- Overall, stronger employment growth is more than offset by weaker average earnings growth, leaving our forecast for overall wages and salaries growth – the key economic driver of NSND income tax receipts – 0.4 percentage points below the SFC's forecast on a cumulative basis by 2030-31.

[6] A more detailed discussion of recent reconciliations and forecasts differences can be found in McKibbin, N., SFC, *Forecasts for Scottish income tax, block grant adjustments and reconciliations*, Sept. 2026.

Table 3.6: SFC Scottish determinants compared to OBR UK-wide determinants

	Percentage change on a year earlier						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Employment							
SFC (January 2026)	-0.3	0.1	0.4	0.5	0.5	0.5	
OBR	1.4	0.5	0.2	0.6	0.7	0.8	0.6
Difference	1.7	0.4	-0.2	0.1	0.2	0.3	
Average nominal earnings							
SFC (January 2026)	5.2	2.9	2.7	2.7	2.8	2.8	
OBR	3.6	3.6	2.9	2.1	2.3	2.5	2.6
Difference	-1.6	0.7	0.2	-0.6	-0.4	-0.2	
Wages and salaries							
SFC (January 2026)	4.9	3.0	3.1	3.2	3.2	3.3	
OBR	5.0	4.0	2.9	2.6	2.9	3.2	3.0
Difference	0.2	1.0	-0.2	-0.6	-0.3	-0.1	
	2025-26 = 100						
Employment							
SFC (January 2026)		100.1	100.5	101.0	101.5	102.0	
OBR		100.5	100.7	101.3	102.1	102.8	103.4
Difference		0.4	0.2	0.3	0.6	0.9	
Average nominal earnings							
SFC (January 2026)		102.9	105.6	108.5	111.5	114.6	
OBR		103.6	106.5	108.8	111.3	114.1	117.1
Difference		0.7	0.9	0.3	-0.2	-0.5	
Wages and salaries							
SFC (January 2026)		103.0	106.2	109.6	113.1	116.9	
OBR		104.0	107.0	109.7	112.9	116.5	120.0
Difference		1.0	0.8	0.2	-0.2	-0.4	

Note: Wages and salaries refers to the SFC's total nominal earnings series. 2025-26 was not outturn at the time of the SFC January forecast.

Source: SFC, OBR

3.19 Table 3.7 breaks down our forecast for UK NSND income tax and compares our forecast for Scottish income tax with the SFC's January 2026 forecast. Comparisons between the two forecasts need to consider that the SFC forecast is now several months old and was produced prior to the 2024-25 Scottish income tax outturn data, which showed weaker receipts than expected. That said, the forecasts are broadly similar until 2027-28, the period which the Scottish Government will be setting its detailed spending plans at the next Scottish budget. Over the medium term, however, the forecasts diverge, leaving our Scottish income tax forecast £1.4 billion (5 per cent) lower than the SFC's by 2031-32. As shown in Table 3.6, this is likely to reflect our weaker medium-term outlook for nominal earnings growth which means our Scottish income tax forecast grows more slowly all else equal. The differences between the forecasts reflect the risks and uncertainties inherent in any economic and fiscal forecast, particularly around the outlook for nominal earnings growth, a key driver of income tax receipts.

Table 3.7: SFC Scottish income tax forecast compared to OBR UK NSND forecast

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
SFC (January 2026)								
SIT (a)	18,941	20,280	21,508	22,828	24,051	25,398	26,769	
OBR								
UK NSND	276,612	299,684	326,992	341,898	355,205	374,375	394,297	409,605
of which:								
UK ex SIT and WRIT	254,677	276,028	301,464	315,316	327,642	345,559	364,198	378,403
WRIT	3,300	3,601	3,906	4,081	4,240	4,460	4,689	4,859
SIT (b)	18,635	20,055	21,622	22,501	23,323	24,356	25,410	26,343
OBR vs. SFC (b-a)	**-306**	**-224**	**114**	**-327**	**-728**	**-1,042**	**-1,359**	
	Percentage change on a year earlier							
SFC (January 2026)								
SIT (a)		7.1	6.1	6.1	5.4	5.6	5.4	
OBR								
UK ex SIT and WRIT		8.4	9.2	4.6	3.9	5.5	5.4	3.9
SIT (b)		7.6	7.8	4.1	3.7	4.4	4.3	3.7
OBR vs. SFC (b-a)		**0.6**	**1.8**	**-2.1**	**-1.7**	**-1.2**	**-1.1**	
	2024-25=100							
SFC (January 2026)								
SIT (a)		107.1	113.6	120.5	127.0	134.1	141.3	
OBR								
UK ex SIT and WRIT		108.4	118.4	123.8	128.7	135.7	143.0	148.6
SIT (b)		107.6	116.0	120.7	125.2	130.7	136.4	141.4
OBR vs. SFC (b-a)		**0.6**	**2.5**	**0.2**	**-1.8**	**-3.4**	**-5.0**	

Note: Outturn for 2024-25 was not available at the time of the SFC's January 2026 publication.

Source: SFC, OBR

Other Scottish devolved taxes

3.20 **LBTT** receipts were £952 million in 2025-26 and are forecast to rise to £1.3 billion in 2031-32. Compared to our March 2026 forecast this is on average £59 million lower in each year of the forecast. These changes are evenly split between the residential and commercial elements of LBTT. On the residential element, this is primarily driven by downwards revisions to our UK-wide transactions and prices outlook, which is only somewhat offset by in-year receipts strength on residential main rates. On the commercial element, about one-third of the change reflects a weaker outlook for the commercial property market and the other two-thirds of the change reflects recent weakness in commercial receipts which we assume will persist throughout the forecast period.

3.21 In this forecast we have conditioned our LBTT forecast on the same assumptions for residential prices and transactions growth as those used in our ENI SDLT forecast. In our March 2025, November 2025 and March 2026 forecasts, we excluded from the Scottish forecast the impact of England-only planning reforms. It was assumed these would have a positive medium-term impact in England on housing starts and therefore a positive effect on residential transactions and small negative effect on residential prices. As these reforms

have now been enacted we will assess at each forecast if there is any evidence that the Scottish property market is diverging from the rest of the UK. At this forecast, there is no clear evidence that the Scottish property market has behaved sufficiently differently to the rest of the UK to justify using different assumptions. In future, it may be the case that English planning reforms could boost residential transactions in England relative to Scotland. However, there are other differences between the regulatory environment for housebuilding in England and Scotland, such as building safety regulations, which could offset or reinforce this.

3.22 **Air departure tax (ADT)** is set to be introduced in April 2027. We forecast that receipts will be £424 million in 2027-28 and rise to £503 million by the end of the forecast. Outturn data on the proportion of UK air passenger duty (APD) receipts that are Scottish has not been collected, meaning estimates of ADT liable passengers were constructed from external data sources and are highly uncertain. To construct this estimate, we use a model designed and operated by the SFC that relies on data from the Civil Aviation Authority and HMRC. Projections of passenger numbers are grown with real GDP, broadly aligning with our treatment of APD in the rest of the UK.

3.23 **Scottish aggregates tax** receipts are forecast to be £44 million in 2026-27 and expected to rise to £52 million by 2031-32. Relative to our March forecast, receipts are on average £3 million higher each year, reflecting stronger UK outturn data and higher RPI inflation uprating.

3.24 **Scottish landfill tax** receipts were £56 million in 2025-26 and are forecast to fall to £27 million in 2026-27, remaining around £25 million a year thereafter. The fall in 2026-27 reflects expected increases in incineration capacity ahead of the biodegradable municipal waste ban (BMW), which aims to reduce the amount of waste sent to landfill. The BMW ban is due to take effect from January 2028 onwards. We incorporated these effects into our March forecast, and our forecast is broadly unchanged since.

Table 3.8: Other Scottish devolved taxes

	£ million						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
LBTT							
March 2026 forecast	998	1,031	1,078	1,152	1,227	1,300	
October 2026 forecast	952	977	1,024	1,083	1,163	1,245	1,320
Difference	**-46**	**-54**	**-55**	**-69**	**-64**	**-55**	
Air departure tax							
March 2026 illustrative forecast	321	368	392	413	436	458	
October 2026 forecast			424	445	466	485	503
Difference			**32**	**32**	**30**	**27**	
Scottish landfill tax							
March 2026 forecast	52	27	21	23	25	26	
October 2026 forecast	56	27	22	24	26	27	27
Difference	**4**	**0**	**1**	**1**	**1**	**1**	
Scottish aggregates tax							
March 2026 forecast		42	43	45	46	48	
October 2026 forecast		44	46	48	49	51	52
Difference		**2**	**2**	**3**	**3**	**3**	

Source: OBR

4 Welsh tax forecasts and net position

Introduction

4.1 In this chapter we provide:

- A summary of the projections of the Welsh net tax position. The net tax position reflects the difference between revenues from the Welsh taxes and the tax block grant adjustments (BGAs), which are based on our forecasts for rest of UK taxes set out in Chapter 2.

- Our latest forecasts for Welsh taxes, which include Welsh rates of income tax, land transaction tax (LTT) and landfill disposals tax (LDT).

4.2 Our rest of UK tax forecasts set out in Chapter 2 are used in calculating the Welsh Government's tax BGAs, which reduce the funding received by the Welsh Government to reflect the devolution of tax revenues. The tax BGAs in Wales are calculated using the 'comparable model'. This adjusts the previous year's BGA for each devolved tax in line with the per person cash change in the equivalent rest of UK revenues multiplied by a comparability factor (which reflects tax revenue per person in Wales as a proportion of revenue per person in the rest of the UK at the time of devolution).

4.3 In this chapter, to facilitate understanding of how our forecasts inform the tax BGAs, we provide analysis of the latest indicative tax BGAs and how these have changed since they were last calculated. However, it is HM Treasury that is responsible for making the formal BGA calculations and they are subject to final agreement between the UK Government and Welsh Government. The analysis that we set out here should therefore be treated as indicative.

4.4 In this chapter we also provide an overview of our latest forecasts for Welsh devolved tax revenues. Since 2019, we have provided the official devolved tax forecasts used by the Welsh Government for its budget process, which we publish in our Welsh taxes outlook (WTO) that accompanies the Welsh draft and final budget. We will be publishing our latest WTO, including updated forecasts for Welsh devolved taxes on 17 November to accompany the Welsh draft budget. These forecasts also feed into the projections of the Welsh net tax position in this chapter.

Welsh receipts, BGAs and net position

Summary of rest of UK tax forecasts and Welsh taxes

4.5 Table 4.1 provides a summary of our rest of UK tax forecasts which inform the tax BGAs and compares them to our latest forecasts for Welsh taxes, which we describe in more detail later in this chapter. Total England and Northern Ireland (ENI) equivalent taxes that are fully or partially devolved are forecast to grow at around 6 per cent a year each. This is slightly slower than our Welsh devolved tax forecast.

4.6 Table 4.2 compares **Welsh rates of income tax by band** to their ENI-equivalents on a 'Welsh rates of income tax' basis. The Welsh rates BGAs are calculated on a by-band basis meaning our by-band ENI forecasts form the basis of the Welsh rates BGAs. Welsh rates receipts rise slightly as a share of their ENI equivalents across all tax bands.

Table 4.1: Devolved Welsh taxes relative to ENI equivalents

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Total Welsh devolved taxes	**3,675**	**3,997**	**4,309**	**4,514**	**4,703**	**4,957**	**5,221**	**5,426**
of which:								
Welsh rates of income tax (WRIT)[1]	3,300	3,601	3,906	4,081	4,240	4,460	4,689	4,859
Land transaction tax	341	363	374	402	432	465	499	534
Landfill disposals tax	34	32	29	30	31	32	33	33
Total England and Northern Ireland (ENI) equivalent	**104,603**	**113,372**	**121,192**	**127,098**	**133,242**	**140,587**	**148,293**	**154,865**
of which:								
NSND income tax (WRIT basis)	90,251	97,606	105,725	109,837	113,830	119,731	125,795	130,655
SDLT	13,854	15,177	15,038	16,871	18,945	20,398	22,015	23,697
Landfill tax	497	588	429	390	468	459	483	514
	Wales as a percentage of ENI receipts							
Total Welsh devolved taxes	**3.5**	**3.5**	**3.6**	**3.6**	**3.5**	**3.5**	**3.5**	**3.5**
of which:								
WRIT[1]	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7
Land transaction tax	2.5	2.4	2.5	2.4	2.3	2.3	2.3	2.3
Landfill disposals tax	6.9	5.5	6.7	7.8	6.7	7.0	6.8	6.4

[1] Outturn data is available for 2024-25 for income tax, and 2025-26 is a forecast. For other forecasts, the latest outturn is 2025-26.
Source: OBR

Table 4.2: Welsh rates and ENI equivalent by income tax band

	£ billion							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Welsh rates	**3.3**	**3.6**	**3.9**	**4.1**	**4.2**	**4.5**	**4.7**	**4.9**
of which:								
Basic rate	2.7	3.0	3.2	3.3	3.4	3.6	3.8	3.9
Higher rate	0.4	0.5	0.6	0.6	0.6	0.7	0.7	0.7
Additional rate	0.1	0.1	0.1	0.2	0.2	0.2	0.2	0.2
England and Northern Ireland NSND income tax (WRIT basis)	**90.3**	**97.6**	**105.7**	**109.8**	**113.8**	**119.7**	**125.8**	**130.7**
of which:								
Basic rate	58.9	63.5	67.7	70.0	72.2	75.5	78.9	82.0
Higher rate	17.1	18.7	20.6	21.6	22.5	23.8	25.2	25.7
Additional rate	14.2	15.4	17.4	18.2	19.1	20.4	21.7	23.0
	Wales as percentage of ENI WRIT-equivalent receipts							
Welsh rates	**3.7**	**3.7**	**3.7**	**3.7**	**3.7**	**3.7**	**3.7**	**3.7**
of which:								
Basic rate	4.7	4.7	4.7	4.8	4.8	4.8	4.8	4.8
Higher rate	2.6	2.6	2.7	2.7	2.8	2.8	2.9	2.9
Additional rate	0.8	0.8	0.8	0.8	0.9	0.9	0.9	0.9

Source: OBR

Latest indicative BGA projections

4.7 Table 4.3 shows the latest indicative projections for the tax BGAs. Overall, the Welsh tax BGA is projected to increase from £3.3 billion in 2024-25 to £4.7 billion in 2031-32, with growth averaging 5 per cent a year. Compared with March 2026, the indicative projections of the tax BGAs have decreased by around £50 million on average each year. This is mainly explained by the downwards revision to the LTT BGA, reflecting the weaker stamp duty land tax (SDLT) receipts described in Chapter 2.

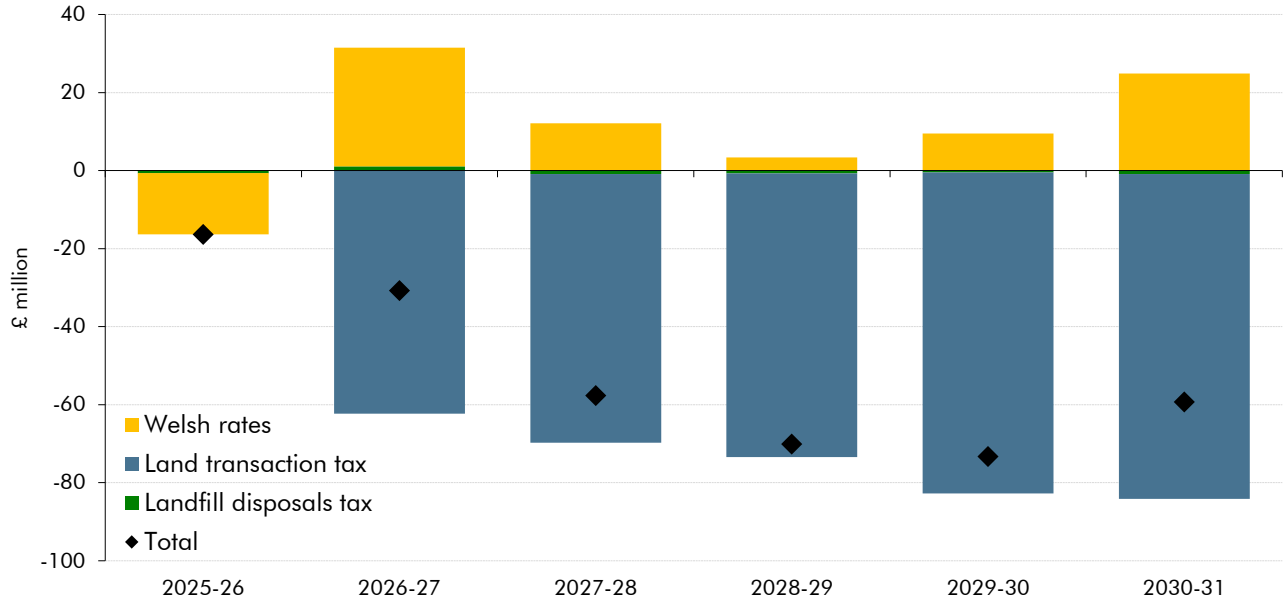
Table 4.3: Projections of the indicative tax BGAs

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Welsh tax BGA	3,303	3,569	3,791	3,947	4,109	4,315	4,527	4,710
of which:								
Welsh rates of income tax	3,001	3,235	3,469	3,590	3,708	3,885	4,064	4,213
of which:								
Basic rate	2,560	2,755	2,938	3,033	3,128	3,271	3,415	3,546
Higher rate	355	387	426	447	465	491	519	529
Additional rate	86	93	105	110	115	123	131	138
Land transaction tax	283	313	306	342	383	412	444	478
Landfill disposals tax	19	21	16	15	18	18	19	20

Note: BGA figures are based on HMT calculations of OBR forecasts. These numbers can sometimes be revised, so should be treated as provisional at the time of publication. We present the outturn numbers net of reconciliations. The latest outturn year for land transaction tax and landfill disposals tax is 2025-26.

Source: HM Treasury

Chart 4.1: Change in the indicative tax BGA projections since March 2026



Source: OBR

Welsh net tax position

4.8 The net tax position, which is devolved tax revenues received by the Welsh Government minus the amount deducted from the block grant through the BGA, summarises the impact of tax devolution on the Welsh budget. Table 4.4 shows that the overall net tax position is projected to increase from £372 million in 2024-25 to £716 million in 2031-32, which reflects the net tax positions of:

- **Welsh rates of income tax,** which increase from £299 million in 2024-25 to £646 million by 2031-32. The growth reflects the freeze to personal tax thresholds, which increase Welsh receipts relatively more than their equivalent ENI equivalent receipts due to distributional differences in incomes. We explain this in more detail in Box 5.1 of our January 2026 *WTO*.

- **LTT**, which remains relatively flat over the forecast period, averaging £56 million a year. The positive net tax position reflects the performance of LTT receipts relative to SDLT receipts since devolution. This partly reflects the performance of the Welsh property market and also policy differences between SDLT and LTT.

- **LDT**, which remains relatively steady over the forecast with the net position averaging £14 million a year.

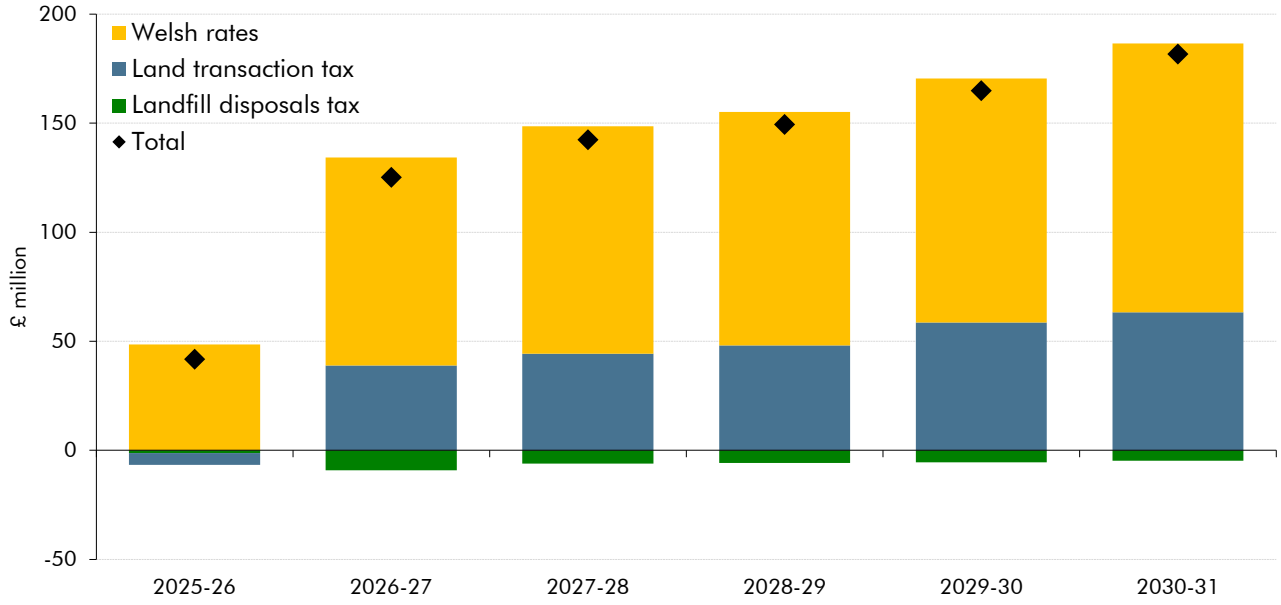
Table 4.4: Latest projected Welsh net tax position

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Total Welsh taxes	3,675	3,997	4,309	4,514	4,703	4,957	5,221	5,426
Welsh tax BGA	3,303	3,569	3,791	3,947	4,109	4,315	4,527	4,710
Net tax position	**372**	**428**	**518**	**567**	**594**	**642**	**694**	**716**
of which:								
Welsh rates of income tax	299	366	438	491	532	575	625	646
Land transaction tax	58	50	69	60	49	52	55	56
Landfill disposals tax	15	12	12	16	13	15	14	13

Note: BGA figures are based on HMT calculations of OBR forecasts. These numbers can sometimes be revised, so should be treated as provisional at the time of publication. We present the outturn numbers net of reconciliations. The latest outturn year for land transaction tax and landfill disposals tax is 2025-26.
Source: HM Treasury, OBR

4.9 Compared with March, Chart 4.2 shows that the indicative net position is an average of £130 million higher each year from 2025-26 onwards. This is mainly driven by the upwards revision to the Welsh rates of income tax forecast, described in paragraph 4.13, being greater in relative terms than the upward revision to the ENI-equivalent income tax forecast. There is also an increase to the LTT net position, due to the SDLT forecast decreasing by more than the LTT forecast. The effect of UK Government measures on the net position is small, reducing the net position by less than £1 million on average from 2026-27 onwards.

Chart 4.2: Change in the Welsh net tax position since March



Source: OBR

Welsh tax forecasts

4.10 In this section we provide further detail on our latest Welsh devolved tax forecasts, which include Welsh rates of income tax, land transaction tax and landfill disposals tax.

Welsh rates of income tax forecast

Welsh rates share of UK NSND income tax

4.11 Our Welsh rates of income tax forecast is based on estimating and projecting the share of UK non-savings, non-dividend (NSND) income tax liabilities attributable to Welsh rates before the effects of policy measures. We apply this share to our latest forecast for UK NSND income tax liabilities, which is described in Chapter 2, and then incorporate the effects of UK Government policy measures.

4.12 Table 4.5 reports our latest forecast for the Welsh rates share of UK NSND income tax liabilities on a pre-measures basis.[1] We expect the Welsh rates share to remain broadly stable at 1.19 per cent throughout the forecast period. Compared with our March 2026 forecast, the share has been revised up slightly reflecting a stronger Welsh share in the latest real time information (RTI) tax data, which is assumed to persist through the forecast. This is partly offset by weaker relative population growth in Wales over the forecast period.

Table 4.5: Welsh rates share of NSND income tax on a pre-measures basis

	Per cent of UK total for non-savings, non-dividend liabilities							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	1.19	1.19	1.19	1.19	1.19	1.19	1.19	
October 2026 pre-measures forecast	1.19	1.20	1.19	1.20	1.20	1.19	1.19	1.19
Difference	**0.00**	**0.01**	**0.01**	**0.01**	**0.01**	**0.00**	**0.00**	
Memo: RTI combined index (2024-25=100)	*100.0*	*100.9*	*101.1*	*101.0*	*101.0*	*100.9*	*100.9*	*100.8*
Change since March		*0.7*	*0.9*	*0.8*	*0.8*	*0.7*	*0.7*	
Memo: index of relative population (2025-26=100)		*100.0*	*100.0*	*99.9*	*99.8*	*99.7*	*99.5*	*99.3*
Change since March		*0.0*	*-0.1*	*-0.3*	*-0.4*	*-0.5*	*-0.6*	

Note: The RTI combined index captures adjustments made to the Welsh rates share to reflect the latest differences in both the aggregate Welsh share of RTI pay and Welsh rates share of RTI tax data by band. As the latter adjustment is applied on a cash basis, its relative effect diminishes as overall UK NSND receipts grow, causing the index to fall slightly over the forecast period.
Source: OBR

Latest forecast

4.13 Table 4.6 presents our latest forecast for Welsh rates of income tax receipts and the changes since March 2026. We also provide below the latest forecasts for Welsh rates of income tax on property in Annex B. Welsh rates receipts are forecast to grow from £3.3 billion to £4.9 billion in 2031-32 with growth fastest in the near-term. Relative to March, the forecast has been revised up throughout, reflecting a higher Welsh rates share and a stronger forecast for UK NSND income tax liabilities. The effect of UK Government measures on the Welsh rates forecast is small.

[1] Further detail on the methodology used to produce our Scottish income tax forecast is available on our devolved aspects of income tax forecasts in-depth page.

Table 4.6: Changes in the Welsh rates of income tax forecast since March

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	3,285	3,568	3,781	3,965	4,129	4,339	4,541	
October 2026 forecast	3,300	3,601	3,906	4,081	4,240	4,460	4,689	4,859
Difference		**33**	**126**	**116**	**110**	**121**	**148**	
of which:								
Welsh share modelling		35	35	33	29	19	12	
UK NSND pre-measures changes		-2	92	88	86	107	136	
UK Government policies:		0	-1	-5	-5	-5	-1	1
of which:								
Direct effect		0	-1	-4	-6	-4	0	4
Indirect effects		0	0	-1	1	0	-1	-3

Source: OBR

Table 4.7: Forecast of Welsh rates of income tax by tax band

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
October 2026 forecast	3,300	3,601	3,906	4,081	4,240	4,460	4,689	4,859
of which:								
Basic rate	2,747	2,979	3,208	3,332	3,448	3,611	3,778	3,921
Higher rate	437	494	554	594	627	672	720	735
Additional rate	116	128	145	155	165	177	191	204
	Per cent							
Basic rate	83.2	82.7	82.1	81.6	81.3	81.0	80.6	80.7
Higher rate	13.2	13.7	14.2	14.6	14.8	15.1	15.4	15.1
Additional rate	3.5	3.5	3.7	3.8	3.9	4.0	4.1	4.2

Source: OBR

Welsh land transaction tax forecast

4.14 We forecast that LTT receipts will rise from £363 million in 2025-26 to £534 million in 2031-32, an average annual growth of 7 per cent. Relative to March 2026, our forecast is £23 million lower on average in each year. This mostly reflects a weaker outlook for residential and commercial property markets, largely driven by an increase in mortgage rates and a decrease in real incomes which weigh on the residential prices and transactions market particularly in the near term. While there is an upwards adjustment due to residential outturn in recent months, this is mostly offset by weakness in commercial outturn.

4.15 This LTT forecast uses the same residential prices and transactions as those used in our ENI SDLT forecast. In our March 2025, November 2025 and March 2026 forecasts, we excluded from the Welsh forecast the impact of England-only planning reforms. As these reforms have now been enacted we will assess at each forecast whether there is any evidence that the Welsh property market is diverging from the rest of the UK. That is not the case in this forecast, but we will revisit this in future forecasts, as set out in paragraph 3.21.

Table 4.8: Land transaction tax forecast: changes since March

	£ million						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	369	398	427	457	488	520	
October 2026 forecast	363	374	402	432	465	499	534
Difference	**-6**	**-23**	**-25**	**-25**	**-24**	**-20**	
of which:							
Price changes		-9	-11	-13	-14	-15	
Transaction changes		-14	-15	-14	-12	-8	
Outturn data and modelling		0	1	2	3	4	

Source: OBR

Welsh landfill disposals tax forecast

4.16 Our forecast for LDT is for receipts to remain relatively unchanged across the forecast. Since March 2026, our forecast has decreased by an average of £7 million (18 per cent). This change reflects lower standard-rate tonnage in the second half of 2025-26 and the first quarter of 2026-27, likely reflecting operational issues at a number of the five large landfill sites in Wales. As we assume these disruptions will be temporary, we assume that only half of the shortfall from the first quarter of 2026 will persist through the year. The decrease in the forecast from the lower outturn is only slightly offset by a higher forecast for the rates of landfill tax due to a higher outlook for RPI inflation and an adjustment to our behavioural assumption on the reduction in lower-rated waste from policy announced at the Welsh final budget in 2026.

Table 4.9: Welsh landfill disposals tax forecast: changes since March

	£ million						
	Outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
March 2026 forecast	34	37	37	38	38	38	
October 2026 forecast	32	29	30	31	32	33	33
Difference	**-2**	**-8**	**-7**	**-6**	**-6**	**-6**	
of which:							
Determinants		0	1	1	1	1	
Modelling and outturn		-8	-8	-8	-7	-7	

Source: OBR

A Illustrative forecasts for taxes not yet devolved

A.1 In this annex we present illustrative forecasts for taxes that are yet to be devolved. The aggregates levy is due to be devolved to Wales, while VAT assignment is due to be devolved to Scotland.

Welsh aggregates levy

A.2 The aggregates levy is a tax on the commercial exploitation of rock, sand and gravel. It is due from any business that quarries, dredges or imports these items.

A.3 To produce the current illustrative forecasts, we use the most recent estimated Welsh shares of UK-wide aggregates levy receipts produced by the ONS, relating to 2024-25.[14] As Table A.1 shows, our illustrative forecast for aggregates receipts in Wales has increased. This reflects incorporating new estimates of the proportion of aggregates receipts from Wales from the latest ONS country and regional public sector finances.

Table A.1: Welsh aggregates levy illustrative forecasts

	£ million					
	Forecast					
	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
UK forecast						
March 2026	393	412	431	449	462	
October 2026	383	410	430	449	467	481
Difference	**-10**	**-2**	**-2**	**0**	**4**	
Welsh forecast						
March 2026	33	35	37	38	39	
October 2026	38	41	43	45	46	48
Difference	**5**	**6**	**6**	**6**	**7**	

Source: ONS, OBR

VAT assignment

A.4 The *Scotland Act 2016* makes provision for the first 10p of standard-rate VAT, and the first 2.5p of reduced-rate VAT generated in Scotland to be assigned to the Scottish Government. VAT would continue to be collected by HMRC and the Scottish Government would not have the power to change the collection or administration of the VAT regime in Scotland, or to change VAT rates or the VAT base.

[14] This is 9.9 per cent.

A.5 The UK and Scottish Governments initially agreed to commence VAT assignment from 2019-20 but this was delayed, and a new commencement date has not been agreed. Therefore, our forecast continues to be presented simply for illustrative purposes.

A.6 The formal methodology for VAT assignment is being developed by HMRC, the Treasury and the Scottish Government. We have no role in validating or approving the chosen methodology. For this projection (Table A.2) we take the latest estimated share of 4.48 per cent, which relates to 2023, as our starting point and index this in line with population growth in Scotland relative to the UK as a whole.[15]

Table A.2: VAT assignment illustrative forecast

	£ billion						
	Estimated outturn	Forecast					
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
UK	179.9	186.2	194.0	203.3	211.7	220.1	228.4
of which:							
Assigned to Scottish Government	8.1	8.3	8.7	9.1	9.5	9.9	10.2
VAT from Scotland retained by UK Government	8.1	8.3	8.7	9.1	9.5	9.9	10.2
VAT from the rest of the UK	163.8	169.5	176.6	185.1	192.8	200.4	208.0
	Per cent						
Assigned to Scottish Government	4.45	4.44	4.43	4.42	4.41	4.40	4.39
Memo: Scottish population share	*8.0*	*8.0*	*7.9*	*7.9*	*7.9*	*7.9*	*7.9*
Memo: index Scottish population share (2023-24 = 100)	*99.4*	*99.1*	*98.9*	*98.7*	*98.5*	*98.3*	*98.1*

Source: HMRC, ONS, OBR

[15] HM Revenue and Customs, HM Treasury, Scottish Government, *Scottish VAT Assignment – Official Statistics in Development 2023*, Autumn 2025.

B Additional forecast tables

Table B.1: Welsh rates of income tax from property by tax band

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Welsh rates	**68**	**75**	**80**	**81**	**85**	**90**	**95**	**100**
of which:								
Basic rate	49	52	55	54	55	57	60	62
Higher rate	15	18	20	22	23	26	28	30
Additional rate	4	5	5	6	6	7	7	8
	Per cent							
Basic rate	72	70	69	67	65	64	63	62
Higher rate	22	24	25	27	28	29	30	30
Additional rate	6	6	6	7	7	7	8	8

Note: Property income outturn totals are based on estimates of the share of income tax receipts attributable to property, aligned with the latest outturn data for overall receipts.

Source: OBR

Table B.2: Welsh rates of income tax from property and rest of UK equivalent by band

	£ million							
	Outturn	Forecast						
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Welsh rates	**68**	**75**	**80**	**81**	**85**	**90**	**95**	**100**
of which:								
Basic rate	49	52	55	54	55	57	60	62
Higher rate	15	18	20	22	23	26	28	30
Additional rate	4	5	5	6	6	7	7	8
England and Northern Ireland NSND income tax (WRIT basis)	**2,276**	**2,509**	**2,711**	**2,741**	**2,850**	**3,006**	**3,172**	**3,319**
of which:								
Basic rate	1,391	1,488	1,562	1,521	1,553	1,605	1,655	1,719
Higher rate	597	693	777	828	881	953	1,032	1,080
Additional rate	288	328	372	392	416	448	485	520
	Wales as a percentage of ENI WRIT-equivalent receipts							
Welsh rates								
of which:								
Basic rate	3.5	3.5	3.5	3.6	3.6	3.6	3.6	3.6
Higher rate	2.5	2.6	2.6	2.6	2.6	2.7	2.7	2.8
Additional rate	1.4	1.4	1.4	1.4	1.4	1.5	1.5	1.5

Note: Property income outturn totals are based on estimates of the share of income tax receipts attributable to property, aligned with the latest outturn data for overall receipts.

Source: OBR

Table B.3: Number of individuals in Scotland of state pension age with income above £35,000

	Thousand						
	Forecast						
	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Number of individuals	189	204	216	227	244	259	275

Source: OBR

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